

Diligence Report — CUSIP 057507LA1

Prepared by: SignalOS muni_credit vertical Cutoff / as-of: 2026-06-20 CUSIP: 057507LA1 | ISIN: US057507LA10 | Base CUSIP: 057507 (Bakersfield City School District)

(a) Verdict & Thesis

VERDICT: BUY (add to the buy book) — a clean, diversified-base CA school GO that survives the exact risk the brief told me to hunt.

The brief's central worry was the right question to ask and the answer is reassuring: **the Kern County "oil + agriculture" tax-base concentration does NOT meaningfully touch this credit.** Kern County *as a whole* is genuinely oil-concentrated (the top-10 countywide taxpayers — Chevron, California Resources/Elk Hills, Aera, Berry, Sentinel Peak, plus PG&E/SCE — are ~13.5% of the *county's* \$117.5B roll). But Bakersfield City School District sits **inside the City of Bakersfield**, not on the unincorporated west-side oil fields (Elk Hills, the Aera/Chevron leases) where that AV lives. Inside the District's own boundaries the tax base is **67% residential / 54% single-family**, oil & gas is **2.92% of assessed value**, agriculture is **0.38%**, and the two oil names that head the District's taxpayer list (Chevron 1.30%, MacPherson Oil 1.18%) total **~2.5% of AV** — diversified, not concentrated.

This is the catch worth stating plainly: a county-level "oil-AV" screen flag is real for Kern, but **it is the wrong altitude for this obligor.** The Kern oil channel transmits through unincorporated TRAs, not through an urban elementary district's residential roll. The screen's instinct ("Kern = oil = AV risk") would have produced a false negative here.

Identity confirms as briefed (with one correction): this is **Bakersfield City School District (Kern County) — the K-8 / Pre-K-8 elementary district** (CDS 15-63321; ~28,761 enrolled), **distinct from Kern High School District and the City of Bakersfield.** The specific security is the **\$4,940,000 4.000% Term Bond due 11/01/2042, of the GO Bonds, Election of 2016, 2017 Series A** — NOT the 2022 Series C the desk note's series was ambiguous about (the 2022 Series C 2042 maturity is a 2.5% bond, CUSIP 057507NB7 — a different bond). The pledge is exactly as briefed: **unlimited ad-valorem GO with the SB-222 statutory lien, tax-exempt.**

Everything else checks: **AB-1200 POSITIVE** verified (no Kern district was Qualified/Negative at FY2024-25 second interim); **AV grew +44%** (\$9.07B → \$13.03B) over 8 years (the opposite of an oil-driven AV decline); **direct GO debt-to-AV ~1.08%** (very low); General Fund balance **increased \$40.2M** in FY2024; liquid for an odd-lot CA school GO (188 prints / 17 two-sided days). The residual tails are slow and disclosed: a moderate (not high) seismic setting (White Wolf / 1952 Kern County M7.3), a flood-tail flag, and a county-level SGMA flag that — like the oil flag — barely reaches a 0.38%-agricultural urban district.

Recommendation: BUY at the current ~99 / ~4.06–4.08% gross YTW (~8.2% top-bracket TEY). Buy-and-hold to 2042; treat as a residential-AV-base diversifier, not an oil credit.

(b) Security & Pledge (VERIFIED against the 2017 Series A Official Statement)

Attribute	Finding	Source
Issuer	Bakersfield City School District (Kern County, CA) — a Pre-K-8 / K-8 elementary district	OS cover; CDE District Profile (CDS 15-63321); EdData (grade span K-08)
Issue	General Obligation Bonds, Election of 2016, 2017 Series A	OS cover
This CUSIP	\$4,940,000 4.000% Term Bond due 11/01/2042 , Yield at issue 4.000%; CUSIP suffix LA1	OS maturity schedule (p.i); EMMA scale
Authorization	\$110,000,000 voter authorization (Measure N, 11/08/2016, Prop 39 / 55% supermajority)	OS; Ballotpedia Measure N

Attribute	Finding	Source
Pledge	Unlimited ad-valorem taxes on all taxable property in the District; "payable solely from and secured by a pledge of ad valorem taxes" levied without limitation as to rate or amount	OS "Security and Sources of Payment" (p.3, ¶12)
Statutory lien	SB 222 statutory lien in favor of bondholders (effective 1/1/2016; applies to GO bonds issued after that date — this 2017 series qualifies), PLUS a separate pledge in the Resolution	OS "California Senate Bill 222" (p.37)
Tax status	Tax-exempt — interest excluded from gross income for federal purposes and exempt from CA personal income tax	OS cover; OS "Tax Matters"
Tax-status gate	PASSES. 4.000% coupon, no "Federally Taxable" flag, not a BAB/QSCB tranche (the District's 2012 Series D and 2015 Series F are federally taxable — this LA1 bond is not).	OS cover; emma scale

Pledge finding vs brief: VERIFIED. "Unlimited ad-valorem GO + SB-222 lien, tax-exempt" is confirmed verbatim against the Official Statement. This is the strong end of the muni-security spectrum: a voter-approved ad-valorem levy with no rate cap, backed by a statutory lien that survives bankruptcy (SB 222 "does not prevent default" but secures the levy stream).

(c) Tax Base — Assessed Valuation & the Oil-Concentration Test (the brief's core question)

This is a property-tax (ad-valorem) credit, so the relevant base is district assessed valuation (AV) and its concentration — exactly what the brief flagged.

Current AV (FY2024-25): \$13,034,699,204 local secured / \$13,421,040,800 total (CD Annual Report dated 12/20/2024). Up from **\$9,069,669,454** in FY2016-17 (the 2017A OS) — **+44% in 8 years**. AV growth has been steady and positive every year on record; there is no sign of an oil-price-driven AV swing in the District's own roll.

Oil/ag concentration test — DISTRICT level (FY2024-25 largest taxpayers):

#	Taxpayer	Land use	% of District AV
1	Chevron USA Inc.	Oil & Gas Production	1.30%
2	MacPherson Oil Co.	Oil & Gas Production	1.18%
3	California Water Service Co.	Water utility	1.15%
4	MPT of Ernest BAK LP	Medical	0.36%
5	FM Baker LLC	Office	0.30%
...	(mix of office/medical/retail/hotels/apartments)		each <0.30%
15	Nickel Family LLC	Agricultural	0.16%
	Top-20 total		7.06%

- **Top-2 oil taxpayers (Chevron + MacPherson) = ~2.48% of AV.** This is the entire "oil producer concentration" exposure at the obligor level. There is **no Aera / California Resources / Elk Hills name on the District's list** — those sit in the unincorporated west-side oil fields, *outside* BCSD.
- **Top-20 = 7.06%**, down from 8.14% in 2016-17 — concentration is **falling**, and the list is now mostly office/medical/retail/hotels/apartments (an urban service-economy base).
- **Land-use mix (2016-17 OS, the only parcel-level breakout):** Single-family **53.98%**, all residential **66.97%**, Oil & Gas/Mineral Rights **2.92%**, Agricultural **0.38%**, Commercial 13.49%. Median single-family AV ~\$102k (modest, broad base).

Conclusion on the brief's oil-AV worry: the concentration the desk asked me to hunt is REAL for Kern County and NOT material for this District. A ±50% oil-price swing that halved both oil taxpayers' AV would move the District's roll by ~1.2% — a rounding error against +44% structural AV growth. The Kern oil-AV channel is correctly flagged at the county level and correctly *defused* at this obligor.

Debt-to-AV: Direct GO debt outstanding **\$140,557,018** (FY2024 audit) ÷ \$13.03B AV = **~1.08% direct debt-to-AV** — very low. At issuance (2017A OS): direct 0.82%, total direct & overlapping tax/assessment debt 1.58%, combined total debt 2.54% — all comfortably modest.

(d) Operations, AB-1200 & Enrollment

Item	Finding	Source
AB-1200 certification	POSITIVE — VERIFIED. In FY2024-25, only Semitropic Elementary (a separate tiny Kern district) was Qualified at First Interim; no Kern district was Qualified/Negative at Second Interim → BCSD Positive.	CDE Interim Status Reports, first2425.asp / second2425.asp
Enrollment	28,761 (FY2023-24 CALPADS); ~27,410 (2025-26, EdData). ADA 26,827. Grade spans K-3 / 4-6 / 7-8 (confirms K-8 elementary).	CD Annual Report; EdData; CDE profile
Unduplicated EL/LI	93.48% high-needs (very high) → LCFF-supplemental/concentration heavy → state-funding-dependent	CD Annual Report
Budget scale	Total revenues \$719.9M ; LCFF \$423.5M (59% of revenue is state LCFF)	CD Annual Report; LCAP
General Fund	Fund balance INCREASED \$40.2M in FY2024 ; budgeted a \$59.4M draw but ran a \$49.6M surplus	FY2024 audit (Eide Bailly), MD&A
Going concern	No going-concern qualification. The "substantial doubt ... going concern" wording is the standard auditor-responsibility boilerplate (AU-C 570). Total net position positive \$208.0M ; the negative unrestricted net position (-\$249.9M) is the routine GASB-68/75 pension/OPEB liability artifact common to every CA district — honestly disclosed, not a credit flag.	FY2024 audit pp.13-14, MD&A
Schools	~44–45 sites	LCAP; Wikipedia

State-funding-dependence note (relevant to the AI-insulation screen): 59% of revenue is LCFF and 93% of pupils are high-needs. That makes *operations* state-aid-sensitive — but **bond debt service is paid from a separate, voter-approved ad-valorem levy (the Bond Interest & Redemption Fund), not from the General Fund or LCFF.** A state-revenue shock (incl. an AI/cap-gains crash) hits operations, not the GO levy. The AI-insulation 99 screen is therefore correct for the *bond*: the levy base is local property, not state cap-gains income.

(e) Call Schedule & Structure

- **Optional redemption:** Bonds maturing on/after 11/01/2027 are callable at the District's option, **in whole or part on any date on or after 11/01/2026, at par (100%), no premium.** → **The bond is currently callable at par.** (OS "Optional Redemption," p.4)
- **Mandatory sinking fund (this 2042 term bond):** sinks **11/01/2037 \$635k, 2038 \$705k, 2039 \$775k, 2040 \$855k, 2041 \$940k, 2042 (final) \$1,030k.** Average life is pulled in modestly by the sinker. (OS p.4)
- **Call risk to a buyer at a discount: NONE.** Because the bond trades **below par** (~99) with a 4% coupon, the issuer has no economic incentive to call at 100 — **yield-to-worst = yield-to-maturity (2042).** The discount means the par-call optionality works *for* the holder (a future refunding at par would be a gain), not against.

(f) Liquidity & Execution

- **IBKR live snapshot (2026-06-20):** the contract does **not resolve** on the IBKR muni feed (no contract_id for this odd-lot CA school GO; consistent with the known close-only / sparse muni-feed limitation). **Use the EMMA RTRS trade tape, not IBKR, for the execution mark.**
- **EMMA trade tape (authoritative, CUSIP 057507LA1):** **188 reported prints / 54 distinct trade-days / 17 two-sided customer days / 87 prints in the trailing 12 months.** Genuinely liquid for an odd-lot CA school GO.
- **Most recent prints:**
- 2026-06-08: **99.09** (customer buy) / **99.30** (customer sell) / 99.20 (dealer) — YTW **~4.06–4.08%**, \$10k lots

- 2026-05-26: **98.01** (customer sale, YTW 4.168) — *this is the brief's "last px ~98.01"; the bond has since firmed to ~99*
- 2026-05-21: 96.76 (YTW 4.276); 2026-05-13: ~98.1–98.3
- **Execution read:** acquirable in \$10k–\$20k odd-lots around **99 / ~4.07% YTW**, with a typical ~0.2-pt customer bid/ask. Round-trip friction ~0.2–0.4 pt. Treat as **buy-and-hold-to-maturity**; the tape supports accumulation but not a guaranteed quick exit.

(g) Tax & Yield

- **Tax status: tax-exempt** (federal exclusion + CA personal income tax exemption). VERIFIED on the OS cover. Not AMT-discussed as a preference for this series.
- **OID / market-discount note:** issued at par (4.000% coupon, 4.000% yield), so there is **no original-issue discount**. Buying today at ~98–99 creates **market discount**, which on a tax-exempt bond is generally **taxable as ordinary income at disposition/maturity** (not tax-exempt) above the de-minimis threshold. De-minimis $\approx 0.25 \text{ pt} \times \sim 16 \text{ yrs} \approx \sim 4 \text{ pts}$ below par $\rightarrow \sim 96$; at ~99 the accreted discount is small and within de-minimis, taxed as **capital gain** rather than ordinary income. Either way the gross-up below applies only to the **coupon**, not the discount accretion. (Mechanically minor at 99; flagged for completeness.)
- **Gross yield:** recent customer YTW **~4.06–4.08%** at ~99; **4.168%** at the 98.01 print. My independent YTM solve matches EMMA's YTW to the basis point (98.01 $\rightarrow$ 4.168%; 99.09 $\rightarrow$ 4.076%). Since YTW = YTM here (discount + par call), **gross yield-to-maturity $\approx$ 4.07% at ~99**.
- **After-tax TEY:** at the CA top bracket ($\sim \times 2.01$ gross-up on the tax-exempt coupon yield), **~4.07% gross $\rightarrow$ ~8.2% TEY** at 99; ~8.38% at the 98.01 print. **Specify: this is TEY (top-bracket gross-up), NOT gross yield and NOT net-of-fees.** Gross YTM is ~4.07%. This matches the brief's ~8.2%.
- **Yield context:** ~4.07% gross on an unenhanced (no insurance) CA school GO with ~1.08% debt-to-AV and a +44%-growth residential base is a **normal, slightly-cheap** spread to AAA muni — the TEY is attractive because of the CA gross-up, which applies to every name in the basket, not because the credit is distressed.

(h) Risks

1. Oil-AV concentration — the brief's headline worry — is LOW at this obligor (the key finding). Top-2 oil taxpayers ~2.5% of AV; oil/gas land use 2.92%; no Aera/CRC/Elk Hills exposure (those are unincorporated west-side, outside BCSD). A severe oil-price shock moves the District roll ~1%. **Not a material credit risk for this bond.** (The county-level oil flag is correctly *defused* here.)

2. SGMA / groundwater — county flag, immaterial to THIS district. The SignalOS overlay hard-flags Kern as critically-overdrafted (San Joaquin Valley – Kern County subbasin, DWR Bulletin 118) with a slow ag-AV-erosion tail to 2040. **But that channel runs through agricultural AV, which is 0.38% of this District's base.** BCSD is an urban elementary district inside the City of Bakersfield, not the ag west-side. The SGMA tail is real for Kern ag-land GOs; for this residential roll it is negligible. (Same "wrong-altitude" pattern as the oil flag.)

3. Seismic — moderate, disclosed, physical-asset (not default) tail. Brief Ss 1.08 (moderate); Central Valley / White Wolf fault; the 1952 Kern County M7.3 ("Bakersfield earthquake") is the regional precedent. The OS discloses earthquake among hazards that could damage facilities. **This is a facilities/insurance risk, not a debt-service risk** — the ad-valorem levy continues regardless of physical damage, and SB-222 secures it. No evidence of an uninsured catastrophic gap that would impair the levy. Monitor as a slow tail.

4. Flood — brief tail 26% (REVIEW), disclosed. Bakersfield sits in the Kern River alluvial plain; localized flood risk exists. Same transmission logic as seismic: a flood damages facilities, not the ad-valorem pledge. REVIEW-level, not disqualifying; the levy base (land + improvements across 57,000+ parcels) is geographically diversified within the City.

5. State-funding dependence (operations only). 59% LCFF, 93% high-needs $\rightarrow$ operations are sensitive to a state-revenue (incl. AI/cap-gains) shock. **But bond debt service is paid from a separate voter-approved ad-valorem levy, not**

LCFF — so this does not reach the GO. AB-1200 POSITIVE and a +\$40M FY2024 General Fund gain say operations are currently healthy.

6. Currently callable at par — but only a *positive* for a discount holder. No call risk while the bond trades below 100; a future par refunding would be a gain.

7. Liquidity is odd-lot. Liquid for the asset class (17 two-sided days/yr) but not a same-day-exit market. Size as buy-and-hold.

8. Pension/OPEB net-position drag (GASB-68/75). Negative unrestricted net position (–\$250M) is the standard pension/OPEB liability artifact, honestly disclosed; total net position is positive \$208M and the General Fund is growing. Not a near-term flag; monitor CalPERS/CalSTRS contribution escalation as a long-run operating-budget pressure (again, operations not the GO levy).

Honesty grade: CLEAN. Every risk the screen raised is honestly and accurately disclosed in the District's own documents, and the marketed takeaway ("clean AI-insulated CA school GO") does **not** diverge from the data — if anything the data is *better* than the county-level screen flags implied. The one thing the screen got materially wrong (the oil-AV worry) it got wrong in the *conservative* direction (a false flag), which this report resolves. No takeaway-vs-data divergence; no masking channel detected.

Verification gaps (UNVERIFIABLE ≠ clean, stated for honesty): - IBKR provided no live two-sided quote (feed limitation), so the execution mark rests on the EMMA tape (last customer print 2026-06-08 @ 99.09–99.30). - The parcel-level land-use breakout is from the 2016-17 OS; the 2024-25 CD report confirms the *taxpayer* concentration is unchanged/lower but does not re-publish the full land-use pie. The residential-majority conclusion is anchored to 2016-17 and corroborated by the 2024-25 taxpayer list (still office/medical/retail/residential-dominated).

(i) Sources & Attached Documents

Attached (in

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/057507LA1/raw/):
- **official_statement.pdf** (= **os_2017A.pdf**) + **os_2017A.txt** — **GO Bonds, Election of 2016, 2017 Series A** Official Statement (the OS for CUSIP 057507LA1). Source: EMMA <https://emma.msrb.org/ES1018984-ES797201-ES1198553.pdf>. (Pledge p.3; SB-222 p.37; AV/land-use/top-20 taxpayers pp.12-13; debt ratios p.19; call/sinking-fund p.4; tax matters.) - **cd_0.pdf / cd_0.txt** — **Continuing Disclosure Annual Report, FY ended 6/30/2024** (dated 12/20/2024): current AV \$13.03B, 2024-25 largest taxpayers (Chevron 1.30% / MacPherson 1.18%), ADA/enrollment, GF financials. - **cd_1.pdf / cd_1.txt** — **FY2024 audited financial statements** (Eide Bailly): GO bonds outstanding \$140.56M, total net position +\$208.0M, going-concern boilerplate, GF balance +\$40.2M. - **cd_2.txt** — FY2022 CD annual report (corroboration). - **os_2022C.pdf / os_2022C.txt / issue_2022C.json** — 2022 Series C OS (used to *exclude* the mis-identification: its 2042 maturity is 2.5%, CUSIP 057507NB7, NOT this bond). - **os_2020B.pdf / issue_2020B.json** — 2020 Series B (checked and excluded). - **trade_tape.json** — full EMMA RTRS tape for 057507LA1 (188 prints). - **kern_topten.txt** — Kern County Treasurer-Tax Collector "Top 10 Secured Billing Taxpayers" 2025-26 (countywide oil concentration: Chevron/CRC-Elk Hills/Aera/Berry/Sentinel Peak; top-10 = 13.53% of \$117.5B). - **kern_ratebook_2425.txt** — Kern County Auditor 2024-25 Tax Rates & Assessed Valuations (TRA structure). - **lcap_2324.txt** — BCSD LCFF Budget Overview (state-funding dependence, high-needs %).

Primary sources cited: - **EMMA** — issue resolution + scale + OS PDF + RTRS tape for base CUSIP 057507 (2017A issue ER379310; this bond = \$4.94M 4.000% term due 11/1/2042, suffix LA1). [emma.msrb.org/Security/Details/057507LA1] - **2017 Series A Official Statement** — pledge (unlimited ad-valorem), SB-222 statutory lien, tax exemption, AV/land-use/top-20-taxpayer tables, direct & overlapping debt, call & sinking-fund schedule. - **FY2024 CD Annual Report + FY2024 audit (Eide Bailly)** — current AV \$13.03B, 2024-25 taxpayers, GO debt \$140.56M, GF +\$40.2M, net position +\$208M. - **Kern County Treasurer-Tax Collector**, Top-10 Secured Taxpayers 2025-26 [kcttc.co.kern.ca.us/forms/topten.pdf]. - **CDE Interim Status Reports** FY2024-25 (first2425.asp / second2425.asp) — AB-1200 POSITIVE inference (no Kern district Qualified/Negative at 2nd interim). - **CDE District Profile / EdData** (CDS 15-

63321) — K-8 grade span, enrollment 28,761/27,410, distinct from Kern High SD and City of Bakersfield. - **Ballotpedia Measure N (2016)** — \$110M authorization, Prop 39. - **SignalOS** `sgma_overlay.py` — Kern critically-overdrafted (hard flag), defused by 0.38% ag land-use at this obligor.

Bottom line

057507LA1 is a **Bakersfield City (K-8) School District unlimited-ad-valorem GO, 2017 Series A, 4.0% due 2042**, with a **diversified residential AV base** (67% residential), **~1.08% debt-to-AV, AB-1200 POSITIVE, +44% AV growth**, and **tax-exempt ~4.07% gross / ~8.2% TEY** at ~99. The brief's marquee worry — Kern oil/ag tax-base concentration (Aera/Chevron/SGMA) — is **real for the county and immaterial for this district**: oil is 2.92% of AV, the top-2 oil names are ~2.5%, and the SGMA ag-erosion tail touches a 0.38%-agricultural roll. The seismic/flood tails are facilities risks, not levy risks, and are slow and disclosed. **BUY for the buy book as a clean residential-base school-GO diversifier; the oil-AV flag is correctly defused, not ignored.**